

Agrim Housing Finance Private Limited

October 06, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	400.00	CARE BB+; Stable	Downgraded from CARE BBB-; Stable

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The downgrade of the long-term bank facilities rating of Agrim Housing Finance Private Limited (AHFPL) reflects a weaker-than-expected performance in FY26, characterised by higher net losses, governance concerns arising from identified fraudulent transactions, material weaknesses in internal financial controls, and a qualified audit opinion, resulting in uncertainty over the company's reported asset quality and earnings profile.

The statutory auditor highlighted suspected fraudulent transactions of ~₹1.40 crore, involving irregular expense payments and diversion of company receipts to customer loan accounts, and control deficiencies across collections monitoring, expense approvals, loan servicing, control account reconciliations and third-party payment oversight. The auditor further noted that certain loan accounts aggregating ~₹5.80 crore may require non-performing asset (NPA) classification under applicable income recognition, asset classification, and provisioning (IRAC) norms and observed a potential overstatement of interest income of ~₹0.19 crore, raising concerns regarding the reliability of reported asset quality and profitability. Procedural non-compliances and delays in regulatory and statutory filings, as highlighted in the secretarial audit report, indicate shortcomings in the compliance and governance framework.

The management has stated that fraudulent transactions were identified through the company's whistleblower mechanism and subsequently investigated by an independent agency, following which disciplinary action was taken against the employees involved. The company has disputed the auditor's observations on NPA classification and income recognition, maintaining that affected accounts comply with applicable IRAC norms and that repayments credited to borrower accounts should be treated as genuine in the absence of evidence to the contrary.

The rating is further constrained by continued weak profitability, with net losses increasing to ₹5.98 crore in FY26 from ₹4.20 crore in FY25, limiting internal capital generation.

The rating continues to derive support from the company's adequate capitalisation, reflected in a capital adequacy ratio (CAR) of 54.14% as on March 31, 2026, aided by promoter infusions of ~₹10 crore in FY26 and ~₹30 crore in Q2FY27. Additional strengths include increased promoter involvement in management, a secured loan portfolio with average loan-to-value (LTV) below 50%, and an established presence in the affordable housing finance segment.

AHFPL has initiated corrective measures, including strengthening internal controls, enhancing monitoring mechanisms, improving segregation of duties, tightening approval processes, and taking disciplinary action against responsible employees. However, the effectiveness of these measures in restoring governance standards, strengthening risk management, and improving financial performance remains to be demonstrated over a sustained period.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Sustained scalability of business and geographical diversification
- Ability to raise significant equity capital
- Improvement in profitability with sustained ROTA above 2%

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Adverse regulatory actions or material observations from Reserve Bank of India (RBI)/National Housing Bank (NHB) or auditors.
- Inability to raise equity capital as envisaged.
- Deterioration in asset quality with gross NPA (GNPA) rising above 3% of loan book.
- Continued losses resulting in erosion of capital position.

Analytical approach: Standalone**Outlook:** Stable

The 'Stable' outlook reflects the company's adequate capitalisation relative to its current scale of operations.

Detailed description of key rating drivers**Key weaknesses****Governance concerns and internal control deficiencies**

In FY26, the company received a whistleblower complaint alleging manipulation of expenses and diversion of funds to customer loan accounts to avoid NPA classification. Independent investigation and extended audit procedures identified suspicious expense payments aggregating ₹1.22 crore and diverted brand merchandising income of ₹0.19 crore, resulting in total suspected fraudulent transactions of ₹1.40 crore. The matter was reported to NHB by the company and also by the statutory auditor.

Identified transactions highlight weaknesses in the company's internal control framework, particularly with respect to expense authorisation, monitoring customer repayments, reconciliation processes, and oversight of transactions impacting borrower accounts. Occurrence of such transactions, despite existing control mechanisms, raises concerns regarding the effectiveness of internal controls, supervisory oversight, and overall governance practices. While the company has initiated corrective measures and strengthened its control environment following the investigation, effectiveness of these measures remains to be demonstrated over a sustained period.

Qualified audit opinion and uncertainty regarding asset quality

The statutory auditor issued a qualified opinion on the company's FY26 financial statements, citing concerns regarding the classification of certain loan accounts and the adequacy of supporting audit evidence. Per the auditor's assessment, loan accounts aggregating ~₹5.80 crore may warrant classification as NPAs under the extant RBI IRAC norms. Consequently, the reported asset quality indicators may be understated, while interest income could be overstated by ~₹0.19 crore. The auditor also observed limitations in establishing complete audit trails for certain repayments and validating the ultimate source of funds credited into borrower loan accounts, creating uncertainty regarding the reported asset quality and earnings profile.

However, the management has disputed the auditor's qualification with respect to asset classification. The company has represented that concerned accounts were classified and reported in accordance with applicable IRAC norms based on daily delinquency monitoring and the actual repayment status of the borrowers. The management has contended that amounts credited to customer loan accounts should be regarded as valid repayments in the absence of evidence demonstrating that such credits were non-genuine or establishing borrower involvement in, or knowledge of, alleged rerouting of funds. Accordingly, while the company has not classified the identified accounts aggregating ~₹5.80 crore as NPAs nor reversed the corresponding interest income of ~₹0.19 crore, it has created a 15% provision amounting to ~₹0.86 crore on these exposures as a conservative measure.

While the direct financial impact arising from the auditor's observations appears limited, CARE Ratings Limited (CareEdge Ratings) notes that the divergence between the auditor's assessment and management's position introduces uncertainty regarding the reported asset quality metrics and earnings profile. If the auditor's observations were to be considered, the company's GNPA ratio could increase by ~100 basis points, with a modest adverse impact on profitability.

Weak profitability metrics

The company's earnings profile weakened materially against its FY26 expectations of ~₹1 crore profit after tax (PAT), reporting a net loss of ₹5.98 crore in FY26. Decline was primarily driven by lower-than-expected business growth, moderation in fee income, and elevated credit costs arising from additional provisions on the disputed loan portfolio and a 20% haircut taken by the company due to asset reconstruction company (ARC) sale. Management expects the impact of the haircut to be partly mitigated through recoveries from the auction of underlying properties, which could provide an upside to profitability upon successful completion of the recovery process.

While net interest margin (NIM) remained stable at 5.04% in FY26 (PY: 4.90%), non-interest income weakened, with other income as a percentage of average assets declining to 1.37% from 2.48% due to lower disbursements and reduced processing fee income. Operating efficiency improved, reflected in the operating expense ratio declining to 7.10% from 8.61% in FY25.

Credit costs increased sharply to 1.07% in FY26 from 0.28% in FY25, driven by the additional provision of ₹0.87 crore on the affected portfolio and the ARC sale-related loss. Consequently, ROTA moderated to -1.64% in FY26 from -1.35% in FY25.

In Q1FY27, the company reported a net loss of ₹0.76 crore on total income of ₹13 crore. The management expects profitability to improve in coming quarters, supported by the proposed reversal of the additional provision in Q2FY27 and continued focus on business growth and operating efficiencies. The company's ability to achieve sustained profitability while maintaining asset quality and governance standards will remain a key monitorable.

Moderation in asset quality

AHFPL's asset quality has moderated, with GNPA and net NPA (NNPA) increasing to 2.04% and 1.71%, respectively, as on March 31, 2026, from 1.44% and 1.15% as on March 31, 2025. GNPA and NNPA further rose to 2.54% and 2.01%, respectively, as on June 30, 2026.

Deterioration was primarily driven by weak collection performance and ageing of delinquent accounts. To improve recoveries and strengthen the collections framework, the company has appointed a dedicated Collection and Litigation Officer and enhanced its recovery efforts. The company has also undertaken a second ARC transaction to clean up the stressed portfolio in August 2026, which is expected to reduce the reported NPA levels for H1FY27.

The company's ability to contain incremental slippages, improve collection efficiency, and maintain asset quality while scaling up its loan book will remain a key rating monitorable.

Limited track record

AHFPL commenced lending operations in FY21, with majority disbursements in the last two years. Given the behavioural portfolio tenure of 7–8 years, seasoning remains limited. On the liability side, the company has been able to garner longer-tenor lender partnerships. Going forward, scaling up operations will depend on its ability to secure stable, long-term funding at competitive rates.

Inherent risk associated with the borrower segment

AHFPL caters primarily to lower-income households in urban and semi-urban regions, with an average household income of ~₹45,000, predominantly seeking financing for first-time home purchases or self-occupied units. While the company leverages in-house scorecards and technology-driven underwriting models tailored to this segment, the borrower profile inherently remains more vulnerable to credit shocks and income disruptions. This vulnerability is further accentuated by the limited seasoning of the portfolio, average vintage of the portfolio at over two years. However, the company's average LTV remains below 50% and FOIR below 60% across the portfolio, provides adequate collateral and income cushions.

Key strengths

Adequate capitalisation and gearing levels

AHFPL's capitalisation profile remains adequate, supported by a tangible net worth (TNW) of ₹118 crore as on March 31, 2026, compared to ₹114 crore as on March 31, 2025. The company maintained a strong capital position, with a total CAR of 54.14% and Tier-I CAR of 53.70% as on March 31, 2026, well above regulatory requirements. Gearing remained moderate at 2.06x as on March 31, 2026 (PY: 1.99x).

Subsequent to year-end, the capital base was further strengthened through a ₹30 crore rights issue, which was fully subscribed by existing shareholders in July 2026, increasing TNW to ~₹148 crore. The company is also exploring additional equity raising from institutional investors in FY27 to support future growth. Accordingly, CareEdge Ratings expects gearing to remain below 3.5x in the medium term, while continuing to monitor the company's ability to deploy the incremental capital prudently and improve profitability.

Technological-driven credit process

AHFPL has established a structured framework for credit origination, appraisal, and monitoring, supported by an end-to-end digital ecosystem. Leveraging proprietary risk-scoring models, ML-based credit scorecards, non-traditional data, the company is able to identify lower-risk borrowers within the EWS and LIG segments, strengthening credit risk management. Enabled by this digital infrastructure, AHFPL has scaled its operations since commencing lending in November 2020, with growth driven through on-book lending and co-lending partnerships. As on March 31, 2026, the company's total assets under management (AUM) stood at ₹396 crore, comprising an on-balance-sheet portfolio of ₹325 crore and an off-balance-sheet (co-lending) portfolio of ₹71 crore. AHFPL has co-lending arrangements with multiple financial institutions which support its scalability and distribution reach.

Change in management team

Since July 2026, the company witnessed a change in its management structure with increased involvement of the promoter group in the day-to-day management and strategic oversight of the business. Following identification of governance lapses and fraudulent transactions, the Board undertook measures to strengthen the leadership and control framework through enhanced promoter participation in executive roles and closer monitoring by the Board and Audit Committee. The revised management structure is expected to facilitate stronger oversight of operations, improve accountability, and accelerate implementation of the remedial measures initiated by the company.

CareEdge Ratings derives comfort from increased promoter commitment, as demonstrated by the capital infusions undertaken in FY26 and Q2FY27, and their enhanced operational involvement. The management transition is expected to support strengthening governance practices, internal controls, compliance monitoring, and risk management processes. Benefits of the revised management structure and strengthened oversight framework remain to be demonstrated over a sustained period. Accordingly, the company's ability to improve governance standards, address deficiencies highlighted by auditors, and restore stakeholder confidence will remain a key monitorable.

Moderate scale of operations

AHFPL's AUM continued to grow, despite a slower pace, increasing by 5% y-o-y to ₹396 crore as on March 31, 2026, from ₹375 crore as on March 31, 2025. The portfolio remains predominantly housing finance focused, with home loans constituting 76% of AUM and loan against property (LAP) exposures accounting for the remaining 24% as on March 31, 2026. Average ticket size remains modest at ~₹13 lakh for housing loans and ₹10 lakh for LAP loans, with the latter generally carrying higher yields and LTVs below 60%.

Growth moderated in FY26, with disbursements declining by ~32% to ₹91 crore from ₹133 crore in FY25, reflecting a calibrated approach towards portfolio expansion amid asset quality challenges and internal control strengthening measures. Consequently, AUM growth moderated to 5% in FY26 from 32% in FY25.

As on June 30, 2026, AUM stood at ₹383.1 crore, representing a decline of 3% sequentially and 13% annualised from March 2026 levels, primarily due to lower disbursements of ~₹9 crore in Q1FY27 and portfolio run-off exceeding fresh originations. Going forward, the company's ability to scale up disbursements while maintaining underwriting standards and asset quality will remain a key monitorable.

Liquidity: Adequate

As per the asset-Liability management (ALM) statement dated June 30, 2026, the company's liquidity profile remains adequate, with no negative cumulative mismatches across buckets up to one year. As on the same date, AHFPL held ₹28 crore of unencumbered cash and cash equivalents, primarily in the form of fixed deposits, which is sufficient for next three months of scheduled debt repayments including interest. As on September 30, 2026, the company maintained an unencumbered liquidity of ~₹22 crore. As a liquidity philosophy, the company maintains liquidity equivalent to two-three months of debt-repayment obligations.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Housing Finance Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Housing finance company

AHFPL is an RBI-approved housing finance company dedicated to service the informal, self-employed urban middle class. AHFPL was incorporated in January 2018 and received approval for housing finance business in July 2020. The company started lending operations in November 2020. The company's target segment is lower income families with sustainable livelihoods in urban and semi-urban areas. The company's target segment has an average household income of ₹45,000 and has one ancestral property; requires financing for first home for self-occupation.

AHFPL provides end-to-end digital ecosystem from search of property, financing of property and protection of property. Agrim's book comprises greater than 75% of individual housing loans and remaining 25% is LAP. The company has 'ATOM' – Workflow system automating the entire approval and disbursement process (in-house system) and 'Aryabhata Systems' – ML-based system, which captures 360-degree customer view, enabling tighter controls and superior loan origination.

Brief Financials-Standalone (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	46	50	13
Profit after tax (PAT)	-4	-6	-1
Assets under management (AUM)	375	396	383
On-book gearing (x)	1.99	2.06	1.83
AUM / tangible net-worth (TNW) (x)	3.28	3.35	3.19
Gross non-performing assets (NPA) / gross stage 3 (%)	1.44	2.04	2.54
Return on managed assets (ROMA) (%)	-1.13	-1.37	-0.70
Capital adequacy ratio (CAR) (%)	58.68	54.14	63.94

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Bank Overdraft	RBI	NA	-	-	-	-	1.00	CARE BB+; Stable
Fund-based - LT-Term Loan	RBI	NA	-	-	-	September, 2030	399.00	CARE BB+; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	399.00	CARE BB+; Stable	-	1)CARE BBB-; Stable (05-Mar-26)	1)CARE BBB-; Stable (06-Dec-24)	1)CARE BBB-; Stable (05-Jan-24) 2)CARE BBB-; Stable (21-Nov-23)
2	Fund-based - LT-Bank Overdraft	LT	1.00	CARE BB+; Stable	-	1)CARE BBB-; Stable (05-Mar-26)	1)CARE BBB-; Stable (06-Dec-24)	1)CARE BBB-; Stable (05-Jan-24)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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